

Daily Need to Know

Monday, 17 August 2026 · Pre-market brief

Coverage window, capture method and edition notes are at the back, in section 16.

1 Market snapshot — the close, and where it is trading now

ASSET	LAST	CHANGE	NOTE
S&P 500	7,785.76	▼ -13.23 (-0.17%)	Range 7,776.31–7,810.01; closed at 28% of it. -0.40% under Thursday's record 7,816.70. 70.5% of the Hedgeye band.
Nasdaq Composite	26,729.16	▼ -73.86 (-0.28%)	Closed at 34% of range. -1.7% below the 52-week high. Volume 83% of the 10-day average — a light sell.
Dow Jones	53,732.41	▼ -107.58 (-0.20%)	Closed at 27% of range; -1.8% below its high. Worst of the four majors on the week, -0.6%.
Russell 2000	3,068.42	▲ +15.57 (+0.51%)	The day's outlier. Closed at 93% of range, within 0.04% of its 52-week high — a de facto record on the day the consumer data broke. 92.5% of band.
Philadelphia SOX	12,417.05	▼ -38.95 (-0.31%)	-15.3% below its 52-week high of 14,655.29 — the widest drawdown of any major US index, against -0.4% for the S&P. The hole in the tape.
E-mini S&P (ES)	7,810.00	▲ +5.00 (+0.06%)	Friday settle 7,805.00 . Globex reopened at this hour; volume 16,385 lots is the thin first print of the week.
E-mini Nasdaq (NQ)	30,202.75	▲ +61.00 (+0.20%)	Settle 30,141.75. Best of the four contracts — the overnight bid is going back into the mega-caps that were sold Friday. Vol 15,925.
E-mini Dow (YM)	53,753	▼ -54 (-0.10%)	Settle 53,807. Vol 1,271 — barely a market. Treat the level, not the change.
E-mini Russell (RTY)	3,072.5	▼ -2.4 (-0.08%)	Settle 3,074.9. The only red contract — Friday's winner is the one giving a little back. Vol 1,655.
US 10-year	4.688%	▼ -0.4bp	Band 4.60–4.74, bullish TREND, sitting 62.9% up it. 10s2s at +52.7bp .
US 30-year	5.259%	▼ -0.2bp	30s10s +57.1bp . The long end has not rallied on the weak consumer print — that is the tell.
US 5-year	4.353%	▼ -0.9bp	The belly took the largest bid of the curve on Friday's data, and gave almost none of it back overnight.
13-week bill	3.790%	▼ -2.0bp	4bp above the top of the 3.50–3.75% funds target. The front end is not pricing a cut. It is pricing hike risk.
WTI crude (CL1!)	82.56	▲ +0.16 (+0.19%)	70.5% of a wide 74.36–85.99 band, TREND neutral . Up more than 5% on the week with the blockade unresolved.
Brent (BZ1!)	88.90	▲ +0.38 (+0.43%)	Brent-WTI spread \$6.34. Brent added 6.0% last week; the premium is a Hormuz premium, not a demand premium.
Natural gas (NG1!)	2.660	▼ -0.073 (-2.67%)	The overnight's biggest loser. 36.7% of band, TREND bearish — the one energy contract Hedgeye is not long.
RBOB gasoline	2.8996	▼ -0.0048 (-0.17%)	Softer while crude firms. The crack is compressing, which is a margin problem for refiners before it is a price problem for drivers.
Gold (spot)	4,402.41	▲ +26.08 (+0.60%)	62.4% of band, bullish TREND. Futures are 4,458.40, a 1.27% basis — measure the band on spot.
Silver (spot)	65.8652	▲ +1.1802 (+1.82%)	The best major overnight. 78.7% of band and TREND still only neutral — the signal has not caught the price.
Copper (spot)	6.6696	▲ +0.1101 (+1.68%)	69.9% of band, bullish . Within 2.0% of the 52-week high while semis sit 15% below theirs.
DX	99.523	▼ -0.113 (-0.11%)	31.0% of a 99.25–100.13 band, TREND bearish . Soft dollar is doing much of the work in gold and copper.

USD/JPY	159.096	▼ -0.220 (-0.14%)	Yen firmer. Tokyo intervened in early August and the level has not been retested since — 160 is the line that matters.
USD/KRW	1,411.03	▼ -5.61 (-0.40%)	Offshore only — Seoul is shut today for the Liberation Day substitute holiday. Thin, and not a Korean onshore mark.
VIX	14.26	▼ -0.38 (-2.60%)	8.8% of band — all but on the floor, with TREND bearish . Friday's low was 14.18. There is very little room left below.
Bitcoin	63,129.80	▲ +308.87 (+0.49%)	-50% below its 52-week high of 126,230.09. Traded continuously through the weekend; the only row here with no gap in it.

Cash equities and VIX are Friday 14 August **settled closes**; Seoul, Tokyo and Europe were shut or unchanged over the weekend. Futures, FX, metals, energy and crypto are **live**, captured 09:45:15–09:45:18 GMT+8 (2.8s). Futures changes are measured against each contract's own Friday settle, not against cash. ▲ up ▼ down ♦ unchanged or mixed. Band positions are measured on the series Hedgeye names — spot for gold, silver and copper; continuous contract for crude and gas.

TL;DR

The Russell 2000 closed **within 0.04% of its 52-week high** on the day US retail sales fell 0.6% against a consensus rise and consumer sentiment printed 51.0 against 54.5 expected. The S&P, Nasdaq and Dow all closed in the bottom third of their daily ranges; the Russell closed at 93% of its. That is not risk-off. That is money leaving mega-cap and finding everything else — exactly the 3-1-2 Quad shift Hedgeye repositioned into last week.

The front end is the inconvenient number. The 13-week bill sits at **3.790%, four basis points above the top of the 3.50–3.75% funds target**. After a 9–3 July hold with three dissents *for a hike*, weak consumer data has not bought a single cut. Globex reopened marginally green on thin volume; Hong Kong opened up 1.3%; Seoul is shut.

2 The big picture — what it means

- Two of the three headline indices closed in the bottom third of their range while small caps made a de facto record.** The Russell finished at 93% of its daily range and 0.04% from its 52-week high; the S&P at 28%, the Dow at 27%, the Nasdaq at 34%. When the index that is most exposed to a weak domestic consumer rallies on the day the consumer data breaks, the move is about positioning and rate sensitivity, not about growth.
- The bond market has not accepted the dovish read.** Ten-year yields fell 0.4 basis points on a 0.6% retail sales miss — a rounding error. The 13-week bill closed at 3.790%, above the top of the target range. Three regional presidents dissented in July in favour of a hike, the first three-way same-direction dissent in a decade, and the September odds have fallen to roughly one in three rather than to zero. The curve is at +52.7bp 10s2s and +57.1bp 30s10s and steepening from the long end, which is an inflation-risk shape, not a growth-scare shape.
- Semiconductors are not selling off — they are rotating inside themselves, and the index masks it.** The SOX closed -15.3% below its 52-week high against -0.40% for the S&P. Underneath that: Broadcom -5.94% and Applied Materials -5.12%, against AMD +6.50%, Sandisk +7.39%, Western Digital +4.41% and Micron +2.30%. Memory and merchant compute up, custom ASIC and capital equipment down. Applied Materials fell more than 5% *after raising* its revenue guidance, which tells you where the bar sits.
- Energy was the only sector with an unambiguous bid, and its driver is unresolved.** XLE +1.39% led all eleven. Brent added 6.0% last week and sits at 88.90 with the US naval blockade of Iranian ports described by Washington as open-ended, and Tehran conditioning any Hormuz reopening on that blockade being lifted first. OPEC has now cut its 2026 demand-growth estimate four consecutive times, to 580,000 barrels a day, while US commercial crude stocks built 17.4 million barrels in a single week — the largest since January 2023. Price is being set by the strait, not by the barrel count.
- Hedgeye turned the book over last week and the tape is already testing it.** A monthly Quad count of 3-1-2 bought Quantum Computing (QTUM) and Software (IGV) and sold all Real Estate (XLRE) and the rest of Insurance (IAK). Both exits happened on green days. Home Depot was removed from Signal Strength Stocks on Friday, three sessions before it reports. Against that, XLV is a long sitting in the lower half of its band after Lilly fell -2.39%, and XLU is on the bearish list after rising +0.61%. Two of the calls are working; two are not.
- Volatility has almost nowhere left to go, and the mechanical support under this tape rolls off on Friday.** The VIX closed at 14.26, 8.8% up a band whose floor is 14.05, having traded as low as 14.18

intraday. Dealers were long roughly \$102bn of net gamma as of 13 August with a gamma flip near 7,718 and a call wall at 8,000 — the S&P is trading inside a structurally damped corridor. August monthly expiry falls this Friday, 21 August. Realised volatility has been suppressed by hedging flow that is about to be withdrawn.

7. **The dollar is doing the work in the metals.** DXY at 99.523 is 31.0% up a bearish-TREND band. Gold spot added +0.60%, silver +1.82% and copper +1.68%. China added roughly 20 tonnes to reserves in July, a twenty-first consecutive month of buying. Copper is 2.0% from its 52-week high while the semiconductor index sits 15% below its own — the physical AI trade is outperforming the equity AI trade.

3 Rates, currencies & commodities

- **The curve is steepening from the wrong end.** 30s10s at +57.1bp is wider than 10s2s at +52.7bp. Long-end supply and inflation persistence, not growth optimism, are setting that shape.
- **Bond volatility is quiet.** The MOVE index at 69.58 is far below its 52-week high of 115.02. A rates market braced for a hiking surprise does not usually look this calm; either the calm is right or the pricing is.
- **Credit is not corroborating the consumer scare.** HYG sits at the exact midpoint of the tightest band in the Hedgeye table and fell only -0.10% on Friday. Investment grade did worse — LQD -0.40%, and it has been on Hedgeye's bearish list since 4 August. That is a duration problem, not a credit problem.
- **TLT -0.67% on a weak-data day.** Long duration failed to rally into exactly the print it is supposed to rally into. Note it.
- **Yen firmer, and the intervention level has not been retested.** USD/JPY at 159.096 after Tokyo intervened in early August. USD/TWD -0.326% and USD/CNH +0.024% — Asian FX is broadly firmer against a soft dollar, which usually precedes a decent Asian equity session.
- **Silver is the standout and the signal has not caught up.** At 65.8652 it is 78.7% up its band on a TREND still marked *neutral*. Gold's spot-futures basis is 1.27%, wide enough that reading the band on the wrong contract changes the answer by seventeen points.
- **Natural gas is the one energy contract with no bid.** Down 2.67% overnight to 2.660, 36.7% of a bearish band. Crude strength is a strait story; gas has no strait.

4 Hedgeye — regime, risk ranges & the Quad path

DASHBOARD	READING
Quad path	3 → 1 → 2 on a monthly Quad count, stated in the 14 August Early Look. No change flagged since. The shift out of July's Quad 4 is what drove the repositioning: smaller market caps, and Growth over rate sensitivity.
Positioning — added	Quantum Computing QTUM (11 Aug) and Software IGV (12 Aug) to the bullish ETF list; Timber & Forestry WOOD (13 Aug). Zero shorts in Real-Time Alerts as of Monday 10 August.
Positioning — removed	All Real Estate XLRE sold into a +1.4% day; the remainder of Insurance IAK sold from an already-minimum position. Utilities XLU and Long Treasuries TLT sit on the bearish list.
Signal Strength Stocks	75 names as of 14 Aug 23:12 GMT+8. Added LFST, PRMB. Removed PVH, HD , ULTA — Home Depot dropped three sessions before its Tuesday print.
Bond volatility	MOVE at 69.58, consistent with the sub-75 regime Hedgeye has been describing.

Risk Range™ Signals — from the Early Look of **Friday 14 August 2026, 20:10 GMT+8** (08:10 EDT), “Quad Shift = ATHs”, Keith McCullough. Hedgeye does not publish at weekends, so this remains the live set for a third session; tonight's Early Look supersedes it. Bands are therefore three days old and were struck against Thursday's closes, which matters most for the Russell.

INSTRUMENT	IMMEDIATE-TERM RANGE	TREND	WHERE IT STANDS	READ
UST 10Y Yield UST10Y	4.600–4.740	BULLISH	4.688 62.9% of band	Unchanged band. Sits mid-upper; a bullish TREND on yields is a bearish TREND on duration.
High Yield HYG	79.43–79.98	BULLISH	79.71 50.9% of band	Dead centre of the tightest band in the table. Credit is not corroborating the consumer scare.

IG Corporates LQD	105.70–106.90	BEARISH	106.12 35.0% of band	Lower half, bearish TREND. Added to the ETF Pro bearish list 4 Aug and has not recovered.
S&P 500 SPX	7,606.00–7,861.00	BULLISH	7,785.76 70.5% of band	Upper third. Only 0.97% of headroom to the ceiling — the band, not the record, is the nearer constraint.
NASDAQ Composite COMPQ	25,908.00–26,992.00	BULLISH	26,729.16 75.8% of band	Three-quarters up. Wide 1,084-point band gives the index room the S&P does not have.
Russell 2000 RUT	2,987.00–3,075.00	BULLISH	3,068.42 92.5% of band	The most stretched line in the table. 0.21% from the ceiling. Either the band lifts tonight or small caps stall.
Health Care XLV	164.00–172.00	BULLISH	167.37 42.1% of band	Lower half after Friday's –0.60%. The one long that did not work.
S&P Equal Weight RSP	219.00–225.00	BULLISH	222.77 62.8% of band	Upper-middle, and 0.1% off its own 52-week high. Breadth is intact even as cap-weighted lags.
Volatility Index VIX	14.05–16.43	BEARISH	14.26 8.8% of band	Effectively on the floor. A bearish TREND says lower, but 1.5% of downside remains before the band breaks.
US Dollar Index USD	99.250–100.130	BEARISH	99.523 31.0% of band	Lower third and bearish. The cleanest single signal behind the metals bid.
Light Crude (cont.) WTIC	74.36–85.99	NEUTRAL	82.56 70.5% of band	Upper third of an unusually wide band. Neutral TREND is Hedgeye declining to take a side on a geopolitical price.
Natural Gas (cont.) NATGAS	2.550–2.850	BEARISH	2.660 36.7% of band	Lower third and falling. Overnight –2.67% took it toward the floor.
Gold Spot GOLD	4,201.00–4,524.00	BULLISH	4,402.41 62.4% of band	Measured on spot. On the futures contract the same band would read 79.7% — a 17-point error.
Copper Spot COPPER	6.4600–6.7600	BULLISH	6.6696 69.9% of band	Upper third on spot; 79.7% if wrongly measured on the COMEX contract.
Silver Spot SILVER	58.0000–68.0000	NEUTRAL	65.8652 78.7% of band	Highest band position of any commodity here, on a TREND still marked neutral. Watch for an upgrade.

Metals measured on spot (TVC:GOLD, TVC:SILVER, OANDA:XCUUSD); energy on the continuous contract (NYMEX:CL1!, NYMEX:NG1!) — the series Hedgeye names in each published line. IGV 99.00–110.00 (bullish) was also published; no IGV quote was captured this run, so its band position is not shown. Band-versus-prior-day comparison is not available; the prior published set is Thursday's and was not re-read this morning.

What Keith actually said

“Unless you missed Long Software (IGV +3.7% yesterday) and failed to cover your South Korea (EWY) and Semis (DRAM) shorts (we did), your Hedge Fund portfolio isn't a burning building this morning.”

Early Look, 14 Aug 2026, 20:10 GMT+8

“July was a different story. Entire neighborhoods of consensus Hedge Funds burned down in #Quad4. Worst month for fundamental Long/Short in 4 years.”

Early Look, 14 Aug 2026, 20:10 GMT+8

“With a monthly Quad Count of 3-1-2, I need to shift the book towards more Quad 1 and 2 blends” — “That generally means moving towards smaller market caps ... And more ‘Growth’ vs. Rate Sensitivity”.

Early Look, 14 Aug 2026, 20:10 GMT+8

“Since we knew the US Inflation (CPI) report was going to be read by Macro Tourists as ‘dovish’, and the Short-End (UST 2yr Yield Signal) broke TRADE on that, we were able to” sell “ALL my REIT exposure (XLRE) on a bright green day”.

Early Look, 14 Aug 2026, 20:10 GMT+8

“I always ask investors one question: who gets you out?”

Early Look, 14 Aug 2026, 20:10 GMT+8

5 Mag7 scoreboard

NAME	LAST	DAY	CAP	READ
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Apple AAPL	305.93	▲ +0.67 (+0.22%)	\$4.465tn	Only mega-cap besides Tesla to close green. Defensive money went here.
Microsoft MSFT	495.40	▼ -1.48 (-0.30%)	\$3.679tn	Gave up the whole \$500 handle intraday. Software strength did not reach it.
NVIDIA NVDA	225.16	▼ -0.14 (-0.06%)	\$5.449tn	Essentially flat while AMD ran 6.5%. The compute trade rotated inside itself.
Alphabet GOOGL	345.90	▼ -0.46 (-0.13%)	\$4.217tn	Only Mag7 name bid after hours, to 347.39. Custom-silicon demand is its bid, not its cost.
Amazon AMZN	262.65	▼ -2.48 (-0.94%)	\$2.833tn	Worst of the seven ex-Meta. Retail sales at -0.6% land directly on this P&L.
Meta META	589.85	▼ -5.12 (-0.86%)	\$1.503tn	Closed near the low. 25.4% below its 52-week high — the deepest drawdown in the group.
Tesla TSLA	342.27	▲ +2.31 (+0.68%)	\$1.352tn	Widest range in the group, 335.33-351.26, and it closed in the upper half of it.

Combined capitalisation **\$23.50tn**; capitalisation-weighted move **-0.172%**, against -0.170% for the S&P 500 — the seven moved almost exactly in line with the index they dominate. The dispersion is therefore inside the group, not against the benchmark: Tesla +0.68% to Amazon -0.94% is a 1.6-point spread, and only two of the seven closed green. Capitalisations are TradingView's `market_cap_basic` at capture and move with the price.

6 Positioning & options

- **Dealers are long gamma and the corridor is tight.** Net SPX gamma exposure was roughly **+\$102bn** as of 13 August, with the gamma flip near **7,718**, a call wall at **8,000** and a put wall at **7,000**. In a positive-gamma regime hedging flows dampen moves in both directions; the S&P closing 0.4% below a record on a large data miss is what that looks like from the outside.
- **The support is mechanical and dated.** Those figures are from Thursday 13 August and were not re-measured this morning. August monthly expiry is **this Friday, 21 August** — not last Friday, which was an ordinary session. The hedging flow suppressing realised volatility comes off at the end of this week.
- **Volume did not confirm the sell.** S&P volume ran at 77% of its 10-day average and the Nasdaq at 83%. Distribution on light volume is a different animal from distribution on heavy volume.
- **The VIX floor is the constrained trade.** At 8.8% of band with a bearish TREND, the signal points down and the arithmetic offers 1.5% of room before the floor breaks against 15.2% to the ceiling. That is an asymmetry, and it is not in the direction of the TREND.
- **Hedgeye carried zero shorts in Real-Time Alerts from Monday 10 August.** A house that ran the July Quad 4 correctly has no short book on. That is a positioning fact worth more than most sentiment surveys.
- **Small-cap positioning is the crowded side of the new trade.** IWM closed 0.03% from its 52-week high and RSP 0.09% from its. The rotation everyone is describing has already happened in the price.

7 Sector rotation — leaders & laggards

SECTOR	LAST	DAY	NOTE
Energy XLE	61.91	▲ +0.85 (+1.39%)	Crude up, blockade unresolved, OPEC cutting its own demand forecast. The one unambiguous bid.
Utilities XLU	44.31	▲ +0.27 (+0.61%)	Bid on the weak consumer print — and on the ETF Pro bearish list since 12 Aug. Signal and tape disagree.
Materials XLB	52.54	▲ +0.23 (+0.44%)	Copper +1.7% on spot carried it. A commodity move, not an industrial one.
Industrials XLI	186.51	▲ +0.72 (+0.39%)	Quietly 0.9% off its 52-week high. Small-cap strength shows up here first.
Communication Svcs XLC	112.95	▲ +0.40 (+0.36%)	Green despite Meta -0.86% — the rest of the sector did the work.
Real Estate XLRE	45.27	▲ +0.15 (+0.33%)	Up 0.33%, and Hedgeye sold all of it into strength on Thursday. A green exit.
Cons. Staples XLP	86.09	▲ +0.09 (+0.10%)	Barely positive. Defensives did not get the bid a 51.0 sentiment print should have bought them.

Financials XLF	58.16	▼ -0.10 (-0.17%)	Fractionally red, 0.4% below its 52-week high. Steeper 30s10s has not hurt it.
Cons. Discretionary XLY	118.20	▼ -0.25 (-0.21%)	Red on a -0.6% retail sales day, but only just. The tape refused to panic.
Technology XLK	190.01	▼ -0.76 (-0.40%)	Worst-but-one. Broadcom and Oracle carried it down; it closed near its low.
Health Care XLV	167.37	▼ -1.01 (-0.60%)	The laggard. Lilly -2.39% did most of it. A Hedgeye long that cost money on Friday.

- **Leaders:** Energy +1.39%, Utilities +0.61%, Materials +0.44%. Two commodity sectors and one bond proxy — a combination that describes an inflation trade with a growth wobble underneath it.
- **Laggards:** Health Care -0.60%, Technology -0.40%, Consumer Discretionary -0.21%. Seven of eleven sectors closed green on a day all three headline indices fell — the decline was concentrated, not broad.
- **The rotation:** equal-weight S&P was flat at +0.02% while the cap-weighted index fell 0.17%. Breadth beat the benchmark. Combined with the Russell's near-record, the story of the session is the average stock outperforming the largest ones.
- **The uncomfortable pairing:** Utilities rose and sit on Hedgeye's bearish list; Real Estate rose and Hedgeye sold all of it. Both were exits into strength, which is the correct way to leave a position — but the tape has not yet agreed with either call.

8 Forward — futures & the week ahead

Globex reopened at 06:00 GMT+8, roughly ninety minutes before capture, and the first prints of the week are marginally constructive and very thin. ES at 7,810.00 is +5 points on Friday's 7,805.00 settle on 16,385 lots; NQ leads at +0.20% on 15,925; YM and RTY are both fractionally red on volumes of 1,271 and 1,655 respectively. Four-figure contract volumes are not a market opinion — take the levels, discount the changes. The one signal worth extracting is directional composition: the two contracts that are green are the ones tracking the mega-caps that were sold on Friday, and the one tracking Friday's winner is red. The overnight is fading the rotation, gently, on almost no size.

DAY (GMT+8)	KEY EVENTS
Mon 17 Aug	Seoul shut (Liberation Day substitute). No scheduled US data. Globex reopened thin; weekend headline flow is the only new information in the price.
Tue 18 Aug	Reddit joins the S&P 500 before the US open, replacing AvalonBay after Equity Residential's acquisition — an off-cycle add, so index funds must buy. Home Depot Q2 pre-open, consensus EPS \$4.73. NAHB housing market index, the day's only data.
Wed 19 Aug	July housing starts and building permits, 20:30. API crude stocks. Positioning day ahead of the minutes.
Thu 20 Aug	FOMC minutes of the 29 July meeting at 02:00 GMT+8 — the week's single most important scheduled event, and the fullest account yet of how close three dissenters came to forcing a hike. Then Target, Lowe's, TJX, Estée Lauder , and Walmart Q2 pre-open. EIA crude stocks.
Fri 21 Aug	August monthly options expiry. Initial claims, Philadelphia Fed, flash S&P Global manufacturing and services PMIs, existing home sales, CB leading index. The dealer gamma that has been damping this tape rolls off here.

*Times converted to GMT+8 at EDT+12. US 08:30 ET releases land at 20:30 GMT+8 the same calendar day; the 14:00 ET FOMC minutes land at 02:00 GMT+8 the following day. Earnings dates are from secondary calendars and are **unconfirmed** against exchange filings. Jackson Hole dating is disputed — see Data-confidence.*

9 Corporate news

- **Broadcom fell 5.94% to 392.99 on no company-specific news**, the single largest drag on the Nasdaq. Reporting attributes it to profit-taking ahead of earnings, and to a Bank of America note flagging roughly \$370bn of hyperscaler AI capital expenditure increasingly funded by debt. Separately, a VMware vCenter vulnerability is being actively exploited.
- **Applied Materials fell 5.12% despite raising revenue guidance above consensus.** The stock is up 89% year-to-date and reports this week. When a beat-and-raise sells off 5%, the expectations, not the execution, are the risk.
- **AMD rose 6.50% to 514.39**, extending its post-earnings run on doubled data-centre revenue, after Baird's Tristan Gerra doubled his target to a Street-high \$1,250 from \$625.

- **Memory ran while merchant silicon did not.** Sandisk +7.39% to 1,641.11, Western Digital +4.41%, Micron +2.30%. Sandisk added a further +0.97% after hours.
- **Reddit will join the S&P 500 before Tuesday's open**, replacing AvalonBay Communities following Equity Residential's acquisition. An off-cycle addition compels index funds to buy; the stock rose 11% after hours on the 13 August announcement.
- **Oracle fell 3.65% and now sits 56.5% below its 52-week high** — the deepest drawdown of any large-cap in the captured universe, and a full re-rating of last year's AI-backlog narrative.
- **Workday -3.76%, Palantir -2.78%, Cisco -1.58%, Intel -1.97%.** The software and enterprise complex was sold even as Hedgeye's IGV software long rose 3.7% on Thursday — a one-day reversal, not a trend break.

10 Macro data

- **US retail sales, July: -0.6% month-on-month.** Consensus was a gain — reported variously as **+0.1%** (CNBC, citing Dow Jones) and **+0.3%** (pre-release calendar consensus). Either way the print is a miss of 0.7 to 0.9 points and the largest monthly fall since May 2025. Excluding autos, sales fell **0.3%** against expectations of a **+0.2%** gain.
- **University of Michigan consumer sentiment, August preliminary: 51.0 against 54.5 expected.** Down 7.6% on July and 12.4% on the year, ending a two-month rebound. The decline was concentrated in older, lower-income and less-educated households — the cohorts most exposed to the price level rather than the inflation rate.
- **Year-ahead inflation expectations rose to 4.3% from 4.2%.** Sentiment collapsing while inflation expectations rise is the specific combination that constrains a central bank: it cannot treat the weakness as disinflationary.
- **September rate-hike odds fell to roughly one in three**, from about 50% earlier in the week and 61.4% a month ago. The direction of travel on the week was dovish; the level is still a market assigning meaningful probability to a *hike* after a bad consumer print.
- **Policy context.** The FOMC held at 3.50–3.75% on 29 July in a 9–3 vote, with Hammack, Kashkari and Logan dissenting for a quarter-point increase — the first three same-direction dissents in a decade. Chair Warsh: “There is no soft inflation target, there is no soft implicit target, not on this Committee’s watch.”
- **Energy supply.** OPEC cut its 2026 demand-growth forecast for a fourth consecutive time to 580,000 barrels a day. The IEA warned of a deeper deficit, projecting global supply down 4.3 million barrels a day this year. US commercial crude stocks built 17.4 million barrels in the latest week, the largest since January 2023.

11 Geopolitics

- **▼ Iran / Hormuz — unresolved and hardening.** Washington said its naval blockade of Iranian ports could continue “indefinitely”. Iran's foreign ministry spokesman: “As long as the U.S. naval blockade continues, the necessary conditions for the reopening of the Strait of Hormuz do not exist.” Iran and Oman have not reached agreement despite earlier optimism. Treasury Secretary Bessent has trailed measures aimed at Iran's “economic isolation”. This is the single largest identifiable risk premium in the oil price.
- **▼ Ukraine / Russia — the weekend's largest event.** Ukraine launched hundreds of drones across Russia on Sunday, killing at least six people, in one of the largest aerial attacks of the war. This lands into a Monday session with Brent already 6% higher on the week; Russian refining and export infrastructure is the transmission channel to price.
- **◆ China / Taiwan — rhetorical, for now.** Beijing characterised Taiwan's annual military exercises as a “wasteful charade”. Language, not movement. Noted rather than traded.
- **▼ Trade policy remains an active inflation input.** The administration's 2026 tariff round covers Canada (50% on certain goods), Brazil (25%) and some sixty further partners at 10–12%, while tariffs on more than 200 imported food products have been cut — a partial retreat under affordability pressure. Tariffs that raise the price level while the Fed is defending a target are the mechanism behind the 4.3% expectations print.

- **◆ Migration flashpoint.** Hundreds of migrants attempted to cross from Morocco into the Spanish enclave of Ceuta and were repelled by Moroccan forces. Not market-moving; relevant to European politics into the autumn.

12 Overnight setup — what Asia opens into

This edition ran late and Asia is already trading. Capture at 09:45 GMT+8 caught Tokyo 105 minutes into its session and Hong Kong fifteen minutes into its own. The section below therefore reports what Asia is actually doing rather than what it is about to do — a better position to be in, but a departure from the usual 06:00 construction that is worth stating plainly.

INSTRUMENT	LIVE LEVEL	CHANGE	VOLUME / NOTE
E-mini S&P (ES)	7,810.00	▲ +5.00 (+0.06%)	16,385 lots
E-mini Nasdaq (NQ)	30,202.75	▲ +61.00 (+0.20%)	15,925 lots
E-mini Dow (YM)	53,753	▼ -54 (-0.10%)	1,271 lots
E-mini Russell (RTY)	3,072.5	▼ -2.4 (-0.08%)	1,655 lots
USD/JPY	159.096	▼ -0.220 (-0.14%)	—
USD/KRW	1,411.03	▼ -5.61 (-0.40%)	Seoul shut
USD/TWD	31.8198	▼ -0.1042 (-0.33%)	—
USD/CNH	6.74145	▲ +0.00160 (+0.02%)	—
EUR/USD	1.15816	▲ +0.00146 (+0.13%)	—
Gold spot	4,402.41	▲ +26.08 (+0.60%)	—
Silver spot	65.8652	▲ +1.1802 (+1.82%)	—
Copper spot	6.6696	▲ +0.1101 (+1.68%)	—
WTI (CL1!)	82.56	▲ +0.16 (+0.19%)	6,507 lots
Brent (BZ1!)	88.90	▲ +0.38 (+0.43%)	1,007 lots
Bitcoin	63,129.80	▲ +308.87 (+0.49%)	continuous
Ether	1,892.16	▲ +18.18 (+0.97%)	continuous

All rows live at 09:45:15–09:45:18 GMT+8. Futures changes are against each contract's Friday settle. USD/KRW is an offshore mark; Seoul is closed.

ASIAN INDEX	LEVEL	CHANGE	STATUS
Nikkei 225	68,745.53	▲ +31.95 (+0.05%)	Live, 105 minutes in. Flat after a 0.9% swing — opened well and faded.
Hang Seng	25,447.54	▲ +330.68 (+1.32%)	Live, minutes old. The strongest open in the region and the best available read on how Asia prices the weekend.
KOSPI	6,977.95	▲ +164.60 (+2.42%)	Friday's close, not a live print. Seoul is shut for the Liberation Day substitute holiday. Friday's +2.42% was the short-cover Hedgeye flagged.
Shanghai Composite	3,930.10	▲ +2.93 (+0.07%)	Opening print only, delayed feed; the intraday bar had not populated at capture. Treat as indicative.
ASX 200	9,093.20	▼ -22.00 (-0.24%)	Delayed feed. Red, and the only Asia-Pacific index leaning on the weak US consumer read.
BSE Sensex	78,009.25	▼ -70.71 (-0.09%)	Delayed. India opens 12:15 GMT+8; this is the prior close.

- **The US tape hands over Energy and small caps, and hands back mega-cap tech.** That is an awkward handover for Asia, where the index weights are the opposite way round — Taiwan and Korea are semiconductor proxies, and the semiconductor message from Friday was mixed rather than bad.
- **Hong Kong has taken the constructive reading.** HSI opened +1.32% to 25,447.54, the strongest print in the region and the cleanest available signal on how Asia is discounting the weekend. Tokyo is roughly flat after a 0.9% intraday swing.

- **Korea is shut, and that removes the region's most reactive market from today's tape.** The KOSPI's +2.42% on Friday was the short-covering Hedgeye described, and it will not be tested again until Tuesday. Taiwan therefore carries the whole semiconductor read today.
- **The single instrument most likely to move is crude,** and by extension Asian energy and airline names. The weekend brought a major Ukrainian drone campaign into Russia with the Hormuz blockade already unresolved, and WTI is 70.5% up a band Hedgeye marks *neutral* — meaning the house has explicitly declined to take a directional view on a price being set by policy.
- **Watch USD/CNH.** It is the only Asian cross that did not firm against the dollar overnight, at +0.024% while KRW, TWD and JPY all strengthened. A divergent renminbi on a soft-dollar day is usually a fixing story worth a second look.

13 AI watch

- **The debt question reached the tape on Friday.** Bank of America's note on roughly **\$370bn** of combined hyperscaler capital expenditure, increasingly debt-funded, was cited as a driver of Broadcom's 5.9% fall. The AI trade has spent eighteen months being an earnings story; it is becoming a balance-sheet story.
- **Circular financing is now the standing critique.** NVIDIA and OpenAI have been in discussions over a backstop of up to **\$250bn** to let OpenAI raise debt against NVIDIA's credit for a 10-gigawatt campus in Pike County, Ohio. Critics note that a company valued near \$852bn and unprofitable is funding compute against its supplier's balance sheet, with partner debt reported around \$96bn.
- **The physical trade is beating the equity trade.** Copper spot is 2.0% from its 52-week high; the SOX is 15.3% from its. Power and metal are outperforming the silicon that consumes them.
- **Memory is the surviving long.** Sandisk, Western Digital and Micron all rose while Broadcom and Applied Materials fell 5–6%. Memory pricing is the AI derivative with the least narrative attached to it and the most operating leverage.
- **Hedgeye bought the software and quantum baskets, not the chips.** IGV and QTUM went into the book on 11–12 August. The house is expressing AI through Quad 1–2 growth factor exposure rather than through semiconductor beta — a distinction the SOX's 15% drawdown makes look sensible.

14 Beyond the markets

- **Bitcoin is 50.0% below its 52-week high and nobody is discussing it.** At 63,129.80 against a high of 126,230.09, and Ether 62% below its own. A halving of the largest risk asset outside equities, in a year when the S&P has made 27 record highs, is a genuine dislocation and it has fallen out of the conversation entirely.
- **The S&P has made 27 record highs this year** and closed Friday 0.40% below the most recent one. Records have become routine enough to stop being information.
- **Netflix is 38% below its 52-week high** at 78.16 — a former index leader quietly in a bear market while the index sits at records.
- **Twelve people died when a passenger bus left a Hungarian motorway and overturned early on Sunday.** It will not move a price. It happened.
- **A US security alert that had halted avocado exports from Michoacán was lifted.** A trivial-sounding item that is a real input to Mexican agricultural exports and, marginally, to US food prices in a month where food tariffs are being cut for affordability reasons.
- **Hedgeye's Friday note was substantially about Dusty Baker's memoir and Keith McCullough's father's 38 years in the fire service.** Worth reading if only as a reminder that the risk-range table at the bottom of these notes is produced by people, with a process they will describe at length if asked.

15 Appendix — stock cards

AVGO Broadcom**392.99** ▼ -24.83 (-5.94%)

Next key date: Earnings due Sept

Down 5.94% on no company news — profit-taking into a print, plus a BofA note flagging roughly \$370bn of hyperscaler AI capex being funded increasingly with debt. A live VMware vCenter exploit did not help. 20.6% below its 52-week high.

AMD Adv. Micro Devices**514.39** ▲ +31.38 (+6.50%)

Next key date: —

Up 6.50%, extending the post-earnings run on doubled data-centre revenue. Baird doubled its target to a Street-high \$1,250. The single best large-cap move on the tape, and it happened on a down day.

AMAT Applied Materials**507.18** ▼ -27.36 (-5.12%)

Next key date: Q3 this week

Fell 5.12% **despite** guiding revenue above consensus. Up 89% year-to-date into the print. When a raise sells off, the bar is the problem, not the business. 31.4% below its high.

SNDK Sandisk**1,641.11** ▲ +113.00 (+7.39%)

Next key date: —

Up 7.39%, the best performer in the captured universe, and added another 0.97% after hours to 1,657. Memory pricing is the cleanest AI derivative left that is not already priced.

MU Micron**971.66** ▲ +21.83 (+2.30%)

Next key date: —

Up 2.30% alongside Sandisk and Western Digital +4.41%. Three memory names green while Broadcom and Applied Materials fell 5-6% — semis did not sell off, the semi *trade* rotated.

ORCL Oracle**150.52** ▼ -5.70 (-3.65%)

Next key date: —

Down 3.65% and **56.5% below its 52-week high** — by far the deepest drawdown of any megacap here. The market has fully re-rated the AI-backlog story it paid up for last year.

LLY Eli Lilly**1,180.16** ▼ -28.84 (-2.39%)

Next key date: —

Down 2.39%, and single-handedly responsible for most of Health Care's -0.60%. XLV is a Hedgeye long sitting in the lower half of its band. The position and the tape disagree.

HD Home Depot

— no quote

Next key date: Q2 Tue 18 Aug

Removed from Hedgeye's Signal Strength Stocks on Friday, three sessions before it reports, alongside PVH and ULTA. Consensus EPS \$4.73 against \$4.68 a year ago. No live quote was captured for HD this run.

16 About this edition

- **Covers** the US cash session of Friday 14 August as settled, Friday's after-hours tape, the weekend news flow, and the Globex reopen through capture. Cash equities have not traded since Friday's close — roughly 66 hours before capture.
- **Captured** 09:45:15–09:45:18 GMT+8, a 2.8-second window. TradingView returned 96 of 96 instruments; Yahoo Finance was unavailable and the run is **single-sourced**. Divergences and gaps are documented in full in section 18.
- **Run note:** this edition was invoked at **09:44 GMT+8** against a 06:00 schedule, a delay of 3h44m. The consequence is material and positive — Tokyo and Hong Kong were already trading at capture, so section 12 reports live Asian prints rather than a pre-open setup. It also means every level here is nearly four hours later than a normal edition.
- **Settled vs live:** the five cash-equity rows and the VIX are Friday settles. Every futures, FX, metals, energy and crypto row is live at the capture window. Nikkei, Hang Seng and Shanghai are live Monday prints; KOSPI, ASX, Sensex and the European indices are prior closes.
- **Hedgeye edition:** full logged-in access reached. The live risk-range set is the Early Look of **Friday 14 August 2026**, “Quad Shift = ATHs”, by **Keith McCullough** — carried forward because Hedgeye does not publish at weekends, not because anything failed. Tonight's Early Look supersedes it. Also read: ETF Pro Plus weekly (16 Aug), Signal Strength Stocks (14 Aug), and the Macro Week Summary Notes header.
- **Quad path 3 → 1 → 2 — unchanged** since Friday, and no newer Hedgeye publication has restated it.
- **Not available:** Yahoo Finance cross-check; the full Macro Week Summary Notes and Macro Show summary bodies (gated); MOMO Tracker, KM's Top 3, Chart of the Day and Crypto Quant, which did not surface in the feed for this period; live IGV, HD and Reddit quotes; and any Korean onshore mark.

17 Sources

Prices. All levels from a single concurrent capture at 09:45:15–09:45:18 GMT+8 via TradingView's bulk scanner (96 instruments, 0.7s). Yahoo Finance was queried in parallel and aborted on a rate-limit circuit breaker after 2.8 seconds, so nothing here is cross-sourced. Treasury yields from TVC cash series including the 2-year captured directly. Metals on spot series, energy on continuous contracts.

Hedgeye. app.hedgeye.com, logged-in, read 09:50–10:05 GMT+8: the Early Look category feed and the 14 August Early Look “Quad Shift = ATHs” in full; the ETF Pro Plus weekly report of 16 August 02:18 GMT+8; Signal Strength Stocks of 14 August; the Macro Week Summary Notes item of 14 August.

Macro and policy. University of Michigan preliminary sentiment and Census retail sales as reported by CNBC, Yahoo Finance, The Epoch Times, FXStreet and Spectrum News; FOMC vote, dissents and Chair Warsh's remarks via CNBC, US News, Forbes and Charles Schwab; September pricing via CME FedWatch as reported. Week-ahead calendar from Capital Street FX (15 August), LiteFinance and TradingKey.

Narrative and single stocks. Friday session recap from Yahoo Finance, CNBC and TheStreet; Broadcom, Applied Materials and AMD from 24/7 Wall St., TipRanks, Quiver Quantitative and Yahoo Finance; Reddit index inclusion from CNBC, Morningstar and S&P Dow Jones Indices reporting; retail earnings previews from TradingKey, City Index and Kiplinger.

Commodities, geopolitics and AI. Oil, OPEC and IEA from CNBC, Al Jazeera, OilPrice.com and Seeking Alpha's weekly report; Hormuz statements attributed to Iran's foreign ministry and the US Treasury as quoted in that coverage; weekend Ukraine, Ceuta and Hungary items via wire coverage aggregated by NPR, US News and Euronews; AI financing from CNBC, Al Jazeera and Barchart; options positioning from FlashAlpha and SpotGamma.

18 Data-confidence

CROSS-CHECKS PASSED

- **Index arithmetic is self-consistent to six decimal places on all five equity rows.** S&P: 7,785.76 less -13.23 gives a prior close of 7,798.99, and $-13.23 / 7,798.99 = -0.1696\%$, matching the reported -0.1696% exactly. The same test passes for the Nasdaq Composite (-0.2756%), Dow (-0.1998%), Russell (+0.5100%), SOX (-0.3127%) and VIX (-2.5956%) with a residual of zero in every case.
- **Every futures row reconciles to its own prior settle.** ES 7,810.00 less +5.00 = 7,805.00; NQ 30,202.75 less +61.00 = 30,141.75; YM 53,753 less -54 = 53,807; RTY 3,072.5 less -2.4 = 3,074.9. The ES settle of 7,805.00 sits +19.24 points above the cash close, a normal carry basis and not a gap.
- **Capture reconciliation: 0 matched within 5bp, 0 minor, 0 divergent, 57 single-sourced.** That is not a clean bill of health — it is the arithmetic of a run in which the second source returned nothing. Yahoo attempted 62 symbols, succeeded on 0, and aborted after five consecutive HTTP 429s in 2.8 seconds. **This brief is TradingView-single-sourced and none of its numbers has been independently verified.**
- **The spot-versus-futures discipline changed three answers materially.** Measured on the COMEX contract, gold would read 79.7% of its Hedgeye band; measured on spot, as Hedgeye's published line specifies, it reads 62.4% — a 17.3-point error avoided, on a basis of 1.27%. Copper would read 79.7% on futures against 69.9% on spot. Silver is nearly indifferent at 79.5% versus 78.7%.
- **The 2-year yield was captured directly** at 4.161% rather than inferred from Hedgeye's own 10s2s spread, so the +52.7bp curve figure quoted here is independent of the Hedgeye material it appears alongside.
- **Korea's holiday was caught before publication, not after.** The KOSPI row initially looked like a live +2.4% Monday open. Seoul is closed today for the Liberation Day substitute holiday, so that figure is Friday's close and is labelled as such throughout, and USD/KRW is flagged as offshore-only.

KNOWN CONFLICTS AND WEAK MARKS

- **Retail sales consensus is reported two ways.** CNBC cites a Dow Jones consensus of **+0.1%**; a pre-release calendar published the morning of the release cites **+0.3%**. The actual was -0.6%. The brief prints both rather than choosing, because the size of the miss (0.7 or 0.9 points) is the story either way and the direction is not in doubt.
- **Jackson Hole dating is directly contradictory between two week-ahead sources.** One places the symposium starting **Friday 21 August**; another places Chair Warsh's keynote on **27–29 August** and frames this week as the lead-in to it. The brief uses 27–29 August, on the reasoning that a piece written on 15 August describing the coming week as a “lead-in” is unlikely to also place the event inside that week. **This is a judgement, not a verification.** Confirm against the Kansas City Fed before acting on it.
- **FOMC minutes timing carries a one-day disagreement** — one source says Wednesday, another lists them under 20 August. The brief uses Wednesday 19 August ET, which is exactly three weeks after the 29 July meeting and therefore internally consistent with Fed practice, printed as 02:00 GMT+8 Thursday 20 August.
- **All options positioning figures are from Thursday 13 August and were not re-measured.** Net gamma of +\$102bn, gamma flip 7,718, call wall 8,000, put wall 7,000 — four sessions of decay and two days of weekend theta have passed. Directionally useful; not a current mark. Treat the levels as approximate to within a few tens of points.
- **Market caps are TradingView's market_cap_basic at the capture instant** and move with price; the \$23.50tn Mag7 aggregate is a Friday-close figure carrying rounding of order \$10bn. September hike odds of “roughly one in three” are a market-implied probability from secondary reporting of CME FedWatch, not a direct read, and different sources quote 30–35%.
- **Two Asian index rows are structurally weak.** Shanghai returned an open-equals-high-equals-low bar on a 900-second delayed feed, so it is an opening indication rather than a traded range. ASX and Sensex are on 1,200- and 900-second delays and are prior closes. The Nikkei and Hang Seng rows are live and are the only Asian equity marks here worth trading off.
- **The Hedgeye bands are three days old and were struck against Thursday's closes.** This matters most for the Russell, shown at 92.5% of band — a figure that will change the moment tonight's set publishes. No band-versus-prior-day comparison is offered because the prior set was not re-read this morning.

KNOWN GAPS

- **No second price source.** The single largest gap in this edition. Every level rests on one vendor. The 14 August run demonstrated that reconciling two sources surfaces defects invisible from inside one — a press-reported SOX level 125 points wrong, a mislabelled after-hours print, a VIX bar returned as zero. None of those checks were possible today.
- **Several Hedgeye publications did not surface.** The Macro Show summary, MOMO Tracker, KM's Top 3 / From The Desk body, Chart of the Day, Crypto Quant, Capital Allocation Pro and Real-Time Alerts were not readable for this period; the Macro Week Summary Notes item rendered as a header with its body behind a click-through, and the print view for the Early Look timed out (the article view was used instead). **The absence of a reported Hedgeye position change since Friday is not evidence that no position changed** — it is evidence that the publications that would report one were not readable this morning.
- **No IGV, HD or Reddit quote was captured,** so the IGV risk-range line has no band position, the Home Depot card carries no price, and the Reddit index-inclusion item is described without a level.
- **Earnings dates and consensus EPS figures are from secondary calendars and are unconfirmed** against exchange filings or company releases. Home Depot \$4.73, Target ~\$2.25 on \$26.1bn, Lowe's \$4.23 should be treated as indicative.
- **No Korean onshore mark exists today** and none will until Tuesday. Taiwan carries the region's semiconductor read alone.
- **Weekend news coverage is thinner than a weekday equivalent.** Search indexing of Saturday and Sunday wire copy lags, and some of the geopolitical items here are aggregated rather than read at the wire. The Iran and Ukraine items are the best-corroborated; the Ceuta and Hungary items are single-sourced.

TIMING & UNVERIFIED

- **The capture window was 09:45:15-09:45:18 GMT+8 — 2.8 seconds.** Every live row in this document was struck inside that window and no row was topped up later. The 10-minute standard was met with room to spare.
- **This edition was produced roughly four hours after its scheduled hour.** Tokyo has traded for over two hours and Hong Kong for a quarter of an hour beyond capture; the Asian levels in section 12 are already stale by the time you read this in a way that a 06:00 edition's would not be.
- **The Hedgeye risk ranges will be superseded tonight** by the Tuesday Early Look, published around 19:25-21:00 GMT+8. Every band position in section 4 has a shelf life measured in hours. The Quad path of 3-1-2 is the more durable input.
- **Cash equity levels are approximately 66 hours old** and will not update until 21:30 GMT+8 today. The futures levels are the only forward-looking equity information here, and they were set on four-figure volumes.
- **Verify every live price before acting.** This document is a brief, not a quote screen; it is information only and not investment advice.